Category
Monetary Policy

INTRODUCTION

Central banks play several important roles in modern economies. These roles include being the monopoly supplier of the currency, the banker to the government and the bankers' bank, the lender of last resort, the regulator and supervisor of the payments system, the conductor of monetary policy, and the supervisor of the banking system. Central banks have three primary tools available to them: open market operations, the refinancing rate, and reserve requirements. The success of central banks is thought to depend on three key concepts: central bank independence, credibility, and transparency. Both fiscal and monetary policy can alter aggregate demand, but they do so through differing channels with differing impacts on the composition of aggregate demand.

Learning Module Overview

- Central banks are the sole supplier of domestic currency, the banker to the government and the bankers' bank, the lender of last resort, the regulator and supervisor of the payments system, the conductor of monetary policy, and the supervisor of the banking system.
- The highest profile role that central banks assume is the operation of a country's monetary policy, which refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy.
- The overarching goal of most central banks in maintaining price stability is the associated goal of controlling inflation.
- Central banks can manipulate the money supply in one of three ways: open market operations, its official policy rate and associated actions in the repo market, and manipulation of official reserve requirements.
- The central bank target **interest rate** (or **policy rate**) is used to influence short- and long-term interest rates and, ultimately, real economic activity.
- The central bank's policy rate works through the economy via the following interconnected channels: short-term interest rates, changes in the values of key asset prices, the exchange rate, and the expectations of economic agents.
- The success of inflation-targeting by central banks depends on three key characteristics: central bank independence, credibility, and transparency.
- Many emerging market economies choose to operate monetary policy by targeting their currency's exchange rate, rather than an explicit level of domestic inflation.
- A major problem for central banks as they try to manage the money supply to influence the real economy is that they cannot control the amount of money that households and corporations put in banks on deposit, nor can they easily control the willingness of banks to create money by expanding credit.
- Both fiscal and monetary policy can alter aggregate demand, but they do so through differing channels with differing impacts on the composition of aggregate demand.
- Both fiscal and monetary policies suffer from a lack of precise current knowledge of the economy, because periodic economic data are released with a time lag and are subject to revision.
- The interaction between monetary and fiscal policies is evident in the Ricardian equivalence because if tax cuts have no impact on private spending due to higher expected future taxes, then this may lead policy makers to favor monetary tools.

Discuss
Filter
Discussion
What do you want to discuss... (required)
No messages to display

© 2025 CFA Institute. All Rights Reserved.

Category
Monetary Policy

Rate Your Confidence

Category

Monetary Policy